

E-commerce has come of age in India and recent eBay census documents the following interesting facts:

- ▶ Over 45% of all purchases are in the lifestyle category with 30 – 35% of online shoppers in 2012 being women
- ▶ India contributed 40% to eBay's global transactions
- ▶ Mobile e-commerce is the latest advancement and eBay Inc clocked in revenues of US \$5 billion globally from mobile commerce in 2011

As eBay continues to expand in India, the company sees great promise in tapping the Tier 2 and Tier 3 cities of India as well as the rural markets. “The Internet & Mobile Association of India (IAMAI) has estimated that the industry will grow at an encouraging pace of 70% year on year. E-commerce websites in India therefore need to be built for scale. At this nascent phase in the industry, it makes more sense to have a horizontal play rather than serve vertical niches”, adds Mr. Muralikrishnan

India's claim to e-commerce fame: The Cash on Delivery (COD) Model

India is predominantly a country whose economy runs on cash. Though in recent years, credit cards have penetrated the market, Indians continue to remain skeptical about shopping online if it involves having to share credit card details or paying up-front without having the physical product in their hands. While cash on delivery is touted to be one of the best innovations in the Indian e-commerce industry, business continue to have mixed sentiments about this model that has become synonymous to Indian e-commerce.

E-commerce businesses that are operating within a niche market in India such as 21 Fools, an online company that sells greeting cards feel that, “Cash on Delivery is one of the best innovations within the segment as customers currently have a feeling of ‘inertia’ when it comes to sharing their card details and due to the proliferation of the concept tend to not purchase from sites that do not offer this option”, says Divyanshu Asopa, Co-Founder, 21 Fools.

However, when the same question is asked to more estab-

